BERNSTEIN
SOCIETE GENERALE GROUP

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U.S. Internet

Digital Ads 3Q26: On to the next story



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Relevance is critical for any stock or sector to work. Agentic commerce and Capital-as-a-moat have brought investor interest back into the Internet space just as digital ad comps get tougher! The reward feels there for the taking for companies that can deliver beats and raises this quarter and tell a compelling tale on their AI winner strategy, but is there enough room in Street expectations for anyone to get it all right?

How to catch the consumer AI train? Consumer Internet regained interest in 3Q26 as excitement around AI agents like Muse and Instinct, created a new investment narrative. Our digital ads names, however, have so far struggled to establish themselves as direct beneficiaries, limiting investor enthusiasm. While AI-powered ad tools continue to improve performance across the sector, decelerating revenue growth raises questions about whether these product gains can sustain momentum and drive a meaningful rerating.

Where is the bar for 3Q? Following several one-time benefits in 2Q (World Cup, Prime Day timing shift, etc.), revenue growth will likely decelerate across our coverage in 3Q. Google Search signals are mixed, although we still expect the business to deliver as Performance Max gives Google greater control over advertiser budgets. Smaller platforms also expect growth to moderate, while continuing to expand their AI-driven ad toolkits. Looking ahead, Google faces tougher comparisons and FX headwind, while Pinterest and Snapchat continue to benefit from easier comps and retain room for improvement, although early October data is modestly concerning for Pinterest.

CapEx remains front and center. Google remains compute-constrained and is increasingly relying on third-party capacity to bridge the gap, creating difficult allocation decisions across enterprise Cloud demand, frontier-model development, and AI-powered Search. Against this backdrop, Google raised its 2026 CapEx outlook by roughly $15B at the midpoint to $195B-$205B and indicated that spending will increase significantly again in 2027. While emerging monetization opportunities, including third-party TPU sales and AI infrastructure services, could help offset the investment, higher depreciation, energy costs, and data-center operating expenses are likely to pressure EPS and FCF.

Improving user trends. Alt data points to improving download momentum across Reddit, Pinterest, and Snapchat. Reddit was particularly encouraging, with download and retention data looking promising. Snapchat downloads also improved, particularly in the U.S., while Pinterest's international user growth accelerated modestly despite continued U.S. softness. The improving user trends could provide an incremental positive catalyst, although sustainability remains to be proven.

See the Disclosure Appendix of this report for required disclosures, analyst certifications and other important information. Alternatively, visit our Global Research Disclosure Website.

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BERNSTEIN TICKER TABLE

			26 Oct 2026		TTM	Reported EPS				Reported P/E (x)		
			Closing	Price	Rel.							
Ticker	Rating	Cur	Price	Target	Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
GOOGL (Alphabet)	M	USD	316.80	385.00	8.9%	USD	10.81	**20.97**	**15.44**	29.3	15.1	20.5
OLD								20.84	15.26			
META (Meta)	O	USD	630.56	850.00	(27.6)%	USD	23.49	28.86	33.64	26.8	21.9	18.7
PINS (Pinterest)	O	USD	21.23	28.00	(50.5)%	USD	1.60	1.98	2.51	13.3	10.7	8.4
SNAP (Snap)	M	USD	6.34	6.00	(33.3)%	USD	(0.27)	(0.10)	0.01	2.1	1.8	1.6
RDDT (Reddit)	M	USD	138.45	180.00	(48.4)%	USD	2.63	5.05	6.55	52.7	27.4	21.1
AMZN (Amazon)	O	USD	249.09	320.00	(1.9)%	USD	7.17	13.08	12.49	34.7	19.0	19.9
SPX			7,676.77									

ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

PINS, RDDT estimate is Adjusted EPS; PINS, RDDT valuation is Adjusted P/E (x); SNAP valuation is EV/Sales (x);

Source: Bloomberg, Bernstein estimates and analysis.

INVESTMENT IMPLICATIONS

GOOGL: Many moving pieces in complicated 3Q26 setup. Search signals have been mixed amid tougher comps, FX headwinds, and softer alternative data, where any miss could end up being extrapolated as Agentic Search disruption. Cloud momentum remains exceptional, with a robust backlog and scaling third-party TPU monetization that ramps this quarter and could power a big Cloud beat, though a rising expectations bar and concerns around moderating non-TPU systems growth linger. Potential model updates and commentary to support consumer AI agentic strategy could alleviate some overhangs, though we note that agentic ambitions may remain TBD. We remain confident in Google's underlying model capabilities despite recent talent departures, leadership changes, and execution questions. However, compute constraints and difficult capacity-allocation decisions persist, while another significant increase in 2027 CapEx could keep EPS growth range-bound and pressure FCF. Longer term, Google remains one of the most differentiated vertically integrated AI platforms, but competition across Search, Cloud, and consumer AI continues to intensify. **We remain Market-Perform at $385.** We value Alphabet using a 50/50 combination of a 24x 2027E EV/EBIT multiple and a DCF with a 10% WACC and 3.5% terminal growth rate.

RDDT: The Google of SMID Internet? It's complicated. The investment debate around Reddit remains centered on three key questions: (1) the durability of core ad revenue growth, which remains strong; (2) the trajectory of user engagement, where early signs are becoming more encouraging; and (3) the long-term value and monetization of its data, which remain uncertain. Reddit's core ad business continues to benefit from improving ad tech, broader lower-funnel capabilities, and diversified commercial intent across communities, with Max campaigns became available to all advertisers in this quarter. User growth remains the largest unresolved debate given Reddit's exposure to Google Search and AI chatbots, as well as reduced disclosure. However, management recently noted a ~50% improvement in new-user retention, while our tracking showed positive download growth during 3Q. New AI-powered search, feed, and trending-summary features could also support discovery and direct engagement. Data licensing remains in a holding pattern as the Google agreement approaches its 2027 expiration, with questions around licensing economics and AI platforms' limited incentives to drive traffic back to Reddit. Meanwhile, continued buybacks and Reddit's addition to the S&P 500 provide incremental support for the stock. **We remain Market-Perform, PT $180/share.** We value Reddit using a 50/50 combination of a 7x 2027E EV/Sales multiple and a DCF with an 11% WACC and 3.5% terminal growth rate. We continue to view Reddit primarily as a digital advertising business and benchmark its valuation against comparable peers.

PINS: Still cheap, but waiting for inflection. Pinterest remains a cheap but show-me story as investors wait for a positive inflection in U.S. revenue growth and EBITDA guidance. Alternative data suggests revenue trends remained broadly consistent with management's guidance in 3Q, although softer early-October trends are modestly concerning. Meanwhile, Pinterest continues to strengthen its long-term positioning through Visual Search Ads, expanded Performance+ capabilities, and broader programmatic access, and AI infra partnership with Nvidia. The appointment of former Amazon finance executive James Dibbo as CFO also adds relevant experience across advertising, commerce, and operational scaling. User growth remains relatively stable, with improving international trends offset by continued softness in the U.S. Valuation near five-year lows should help limit downside, but Pinterest still needs stronger U.S. revenue growth to drive a meaningful rerating, while longer-term competition from ChatGPT, TikTok, and Meta in AI-driven discovery and agentic commerce remains an overhang. **We remain Outperform with a $28 price target.** We value Pinterest using a 50/50 combination of a 3x 2027E EV/Sales multiple and a DCF with

an 11% WACC and 3% terminal growth rate. We continue to view Pinterest primarily as a digital advertising business and benchmark its valuation against comparable peers.

SNAP: The transition continues - a sneaky long into the print? As a company in transition, we expect Snapchat to remain volatile, with catalysts in both directions. Into 3Q, investor focus will center on global DAUs and U.S. revenue growth, particularly the contribution from subscriptions. Alternative data shows improving download trends, especially in the U.S., although expanding age restrictions across countries could create additional noise given Snap's younger user base. Revenue growth should remain reasonable as Snap laps easy comps, while Snapchat+ remains a healthy contributor. Snap also made its AR and consumer-AI strategy more tangible through a broader demonstration of SPECS and the launch of SPECS Intelligence, although adoption and the investment required to scale the platform remain important questions. Meanwhile, newer AI driven ad tools could strengthen Snap's measurement and lower-funnel advertising capabilities. Longer term, competition from Meta, TikTok, and ChatGPT remains a structural overhang. **We remain Market-Perform, PT $6.** We value Snap using a 50/50 combination of a 1.5x 2027E EV/Sales multiple and a DCF with an 11% WACC and 1.5% terminal growth rate. We continue to view Snap primarily as a digital advertising business and benchmark its valuation against comparable peers.

We rate Meta and Amazon Outperform.

DETAILS

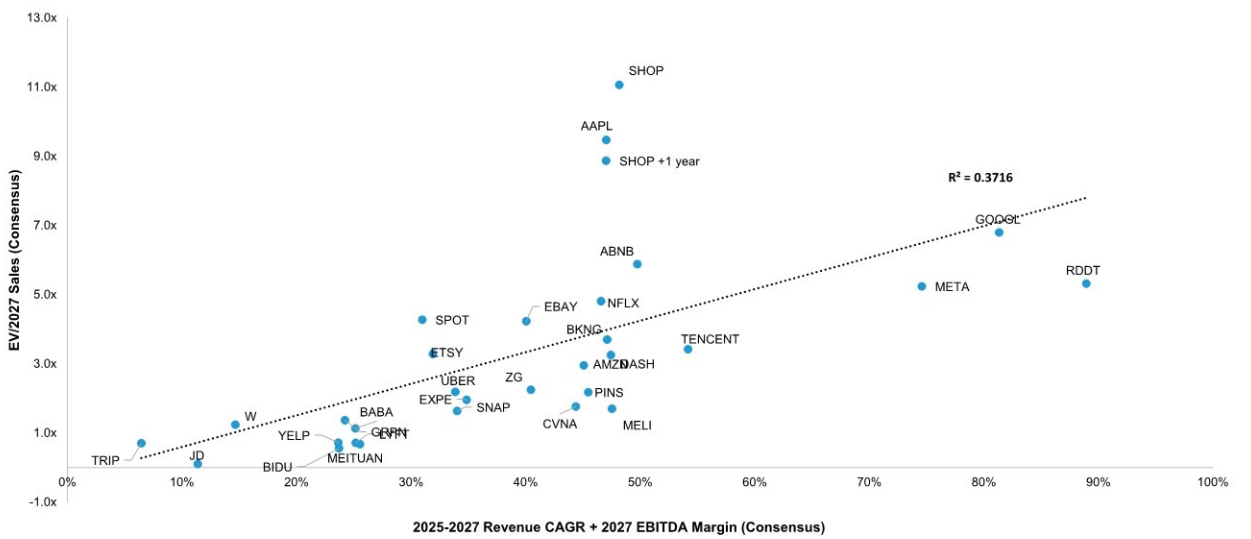
EXHIBIT 1: **Our 3Q26 earnings cheat sheet**

		GOOGL	SNAP	PINS	RDDT
Expectations Bar / Momentum		LOW	LOW	LOW	LOW
What should matter most		2027 CapEx color, Search and Cloud revenue	Revenue	US revenue	US engagement and AI licensing
3Q26E Revenues ($M)	Bernstein	128,127	1,740	1,211	901
	BERN. Y/Y Growth	25%	15%	15%	54%
	Sell-side Consensus	127,831	1,731	1,206	870
	BERN vs. Consensus	0%	1%	0%	4%
	Implied / guidance		+13-15%	'+13-15%	'+47-49%
3Q26E DAU or MAU (M)*	Bernstein		500	655	134
	Sell-side Consensus		499	655	133
	BERN vs. Consensus		0%	0%	1%
	Implied / guidance				
3Q26E EBIT or EBITDA ($M)**	Bernstein	43,045	348	347	408
	Sell-side Consensus	43,123	338	348	399
	BERN vs. Consensus	0%	3%	0%	2%
Upside Potential		MODERATE	HIGH	MODERATE	MODERATE
Downside Potential		MODERATE	LOW	MODERATE	MODERATE

* PINS is MAU

** GOOGL, META are GAAP EBIT. SNAP, RDDT and PINS are Adj. EBITDA
Source: Bloomberg, Company reports, Bernstein estimates and analysis

EXHIBIT 2: **Our 2x2 valuation framework**



As of October 26th, 2026
Source: Bloomberg, Bernstein analysis

EXHIBIT 3: **We maintain price targets for our digital ad coverage ahead of 3Q26 earnings**

	New Price Target				Current Multiple (on new BERN est.)				PT Implied Multiple		
	12-Month PT				EV/Sales		EV/EBITDA		EV/Sales	P/E	EV/EBITDA
	New PT	old PT	Stock Price	Potential Upside (%)	2026E	2027E	2026E	2027E	NTM +1 ('27)	NTM +1 ('27)	NTM +1 ('27)
GOOGL	**$385**	**$385**	$317	22%	7.5x	6.0x	21.9x	17.3x	7.5x	24.9x	21.6x
SNAP	**$6**	**$6**	$6	-5%	1.8x	1.6x	9.5x	8.0x	1.4x		6.8x
PINS	**$28**	**$28**	$21	32%	2.4x	2.1x	8.1x	6.9x	2.3x		7.5x
RDDT	**$180**	**$180**	$138	30%	6.9x	5.2x	15.7x	11.5x	7.0x		15.4x
Average				**20%**	**4.7x**	**3.7x**	**13.8x**	**10.9x**	**4.5x**	**24.9x**	**12.8x**

Stock price as of Oct. 26th; META and GOOGL using EBIT rather than EBITDA
Source: Bloomberg, Company Reports, Bernstein estimates and analysis

EXHIBIT 4: **We take up our 3Q and 2026 revenue estimates for Google Cloud and largely maintained for the rest of our coverage**

Ticker	New Revenue Est ($M)				Old Revenue Est. ($M)				Change (%)			
	3Q26	4Q26	FY26	FY27	3Q26	4Q26	FY26	FY27	3Q26	4Q26	FY26	FY27
GOOGL	128,127	142,530	500,349	622,916	126,286	140,157	496,135	616,895	1%	2%	1%	1%
Search	*65,052*	*71,903*	*260,625*	*291,900*	*65,052*	*71,903*	*260,625*	*291,900*	*0%*	*0%*	*0%*	*0%*
YouTube	*11,359*	*12,681*	*44,978*	*49,700*	*11,215*	*12,635*	*44,788*	*49,491*	*1%*	*0%*	*0%*	*0%*
Cloud	*29,253*	*34,092*	*108,141*	*186,957*	*27,586*	*31,795*	*104,177*	*181,205*	*6%*	*7%*	*4%*	*3%*
SP&D	*14,981*	*15,886*	*56,162*	*64,512*	*14,981*	*15,886*	*56,162*	*64,512*	*0%*	*0%*	*0%*	*0%*
SNAP	1,740	1,937	6,804	7,594	1,740	1,937	6,804	7,594	0%	0%	0%	0%
PINS	1,211	1,545	4,943	5,681	1,211	1,545	4,943	5,681	0%	0%	0%	0%
RDDT	901	1,095	3,464	4,606	901	1,095	3,464	4,606	0%	0%	0%	0%
Average									**0%**	**0%**	**0%**	**0%**

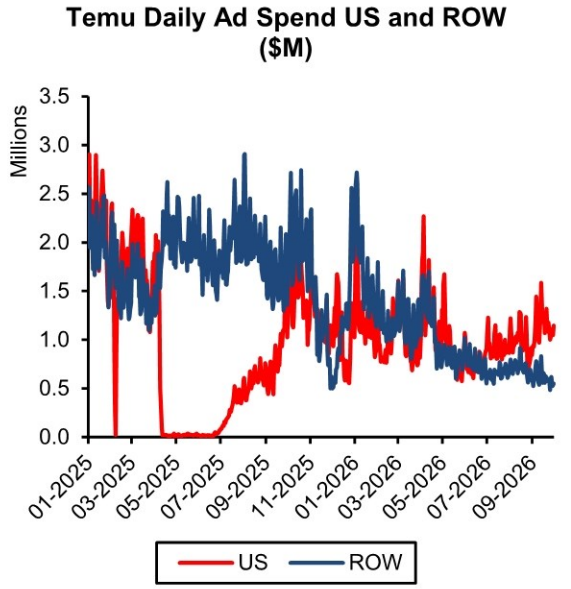
Source: Company reports, and Bernstein analysis and estimates

EXHIBIT 5: **We are now slightly above consensus for 3Q & FY26 across our digital ad names**

Ticker	New Revenue Est ($M)				Consensus				Bernstein Revenue v. Consensus			
	3Q26	4Q26	FY26	FY27	3Q26	4Q26	FY26	FY27	3Q26	4Q26	FY26	FY27
GOOGL	128,127	142,530	500,349	622,916	127,831	142,392	499,499	623,238	0%	0%	0%	0%
Search	*65,052*	*71,903*	*260,625*	*291,900*	*64,851*	*71,430*	*259,957*	*291,873*	*0%*	*1%*	*0%*	*0%*
YouTube	*11,359*	*12,681*	*44,978*	*49,700*	*11,421*	*12,817*	*45,183*	*50,017*	*-1%*	*-1%*	*0%*	*-1%*
Cloud	*29,253*	*34,092*	*108,141*	*186,957*	*28,991*	*34,389*	*108,081*	*188,095*	*1%*	*-1%*	*0%*	*-1%*
SP&D	*14,981*	*15,886*	*56,162*	*64,512*	*14,785*	*15,623*	*55,707*	*63,945*	*1%*	*2%*	*1%*	*1%*
SNAP	1,740	1,937	6,804	7,594	1,731	1,957	6,814	7,540	1%	-1%	0%	1%
PINS	1,211	1,545	4,943	5,681	1,206	1,515	4,911	5,545	0%	2%	1%	2%
RDDT	901	1,095	3,464	4,606	870	1,045	3,390	4,490	4%	5%	2%	3%
Average									**1%**	**1%**	**1%**	**1%**

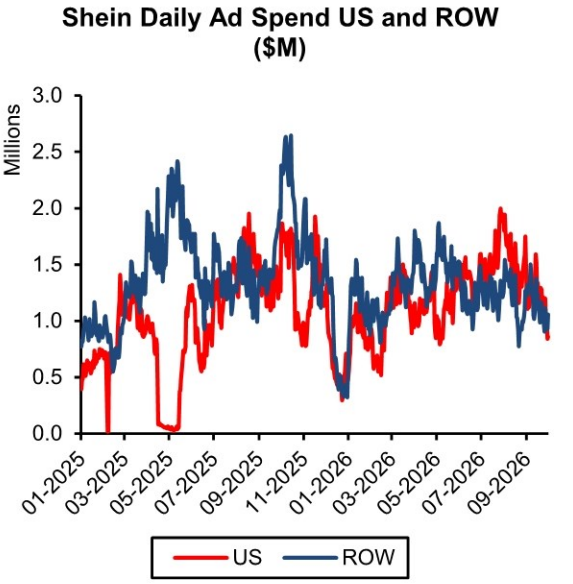
Source: Company reports, Bloomberg, Bernstein analysis and estimates

EXHIBIT 6: **Temu 3Q spend continues to shift back to the US**



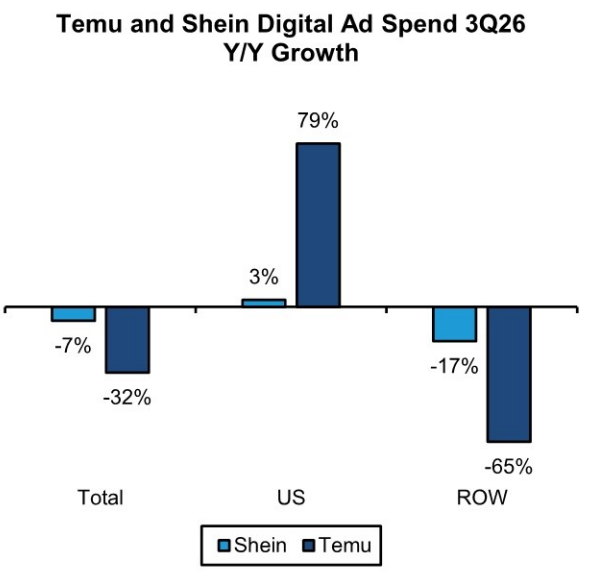
Source: Pathmatics, Bernstein analysis

EXHIBIT 7: **Shein's 3Q ad spend is balanced between US and ROW**



Source: Pathmatics, Bernstein analysis

EXHIBIT 8: **Both Temu and Shein are shifting ad spend back to the US**



Source: Pathmatics, Bernstein analysis

GOOGLE

While several moving pieces complicate Google's 3Q26 setup, we see potential for upside. Search signals have been mixed amid tougher comps, FX headwinds, and softer alternative data, though we still expect the business to deliver given Google's growing control over advertiser budgets through Performance Max. Cloud momentum remains exceptionally strong, and greater disclosure around third-party TPU adoption could further strengthen the AI infrastructure narrative. AI model updates and the potential introduction of a more unified consumer AI agent could provide additional positive catalysts. Regulatory risk also eased after Google avoided a forced divestiture of its ad exchange. However, the 2027 CapEx outlook

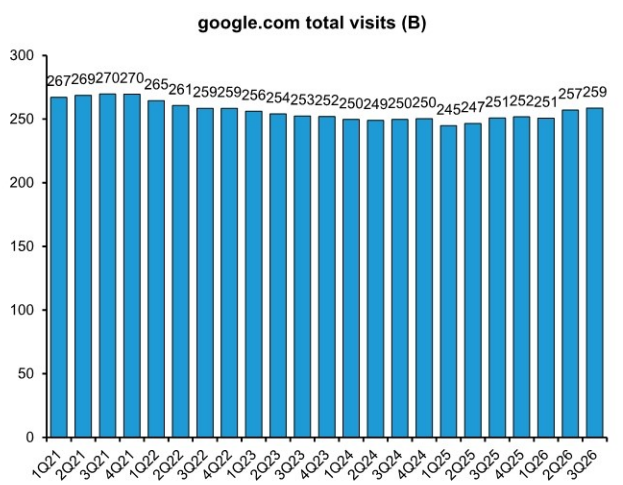
remains a key concern and could again keep EPS growth range-bound while pressuring FCF. Longer term, competition remains intense, with the search advertising market likely to become more crowded as Amazon, OpenAI, Meta, and TikTok expand their offerings.

- **Rising capex, scarce compute, and compute allocation challenges.** Google remains compute-constrained and is increasingly relying on third-party capacity to bridge the gap. Compute constraints also come with tough allocation challenges: Google needs enough capacity to serve enterprise customers (lest they switch to AWS or Azure), enough compute to support frontier model development so developers remain within the Google ecosystem, and enough internal capacity to sustain AI momentum across Search. Against this backdrop, Google raised its 2026 CapEx outlook by roughly $15B at the midpoint to $195-205B last quarter, reflecting component inflation, ongoing supply constraints, and efforts to accelerate capacity deployment, while also signaling CapEx will increase "significantly" again in 2027. From an expense perspective, this also means that ongoing investments in technical infrastructure will continue to pressure the P&L through higher depreciation and data center operating costs, including energy expenses.

- **Can Search growth hold?** While concerns remain around FX headwinds, tougher comps, and softer alternative data, we believe Search growth can hold up this quarter as products such as Performance Max give Google greater control over advertiser budgets. Google.com traffic also remained positive Y/Y for the fifth consecutive quarter, although growth modestly decelerated to 3% in 3Q from 4% in 2Q26. Among Tinuiti advertisers, Google Search trends showed only modest deceleration from last quarter. Search growth will remain in the spotlight, and any further slowdown could reignite investor concerns around AI-driven disruption.

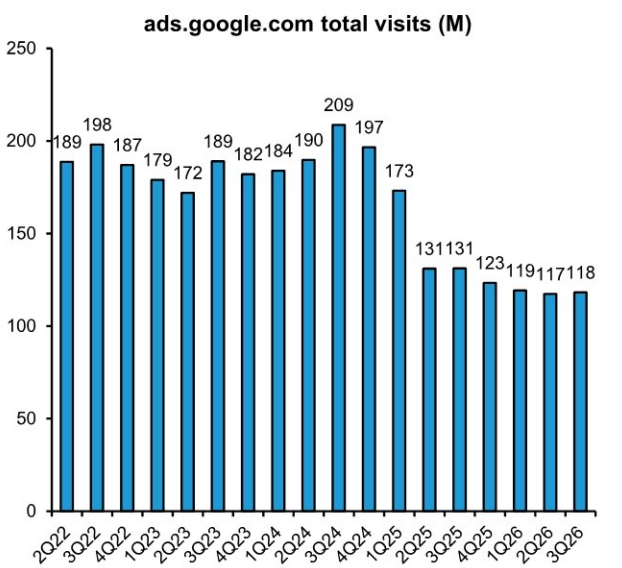
- **Exceptional Cloud momentum continues, although the expectations bar keeps rising.** Once viewed as an afterthought as the #3 player in the pre-AI cloud world, Google is increasingly proving to be a formidable AI cloud competitor. Last quarter, Cloud revenue grew 82% Y/Y, margins expanded to ~36%, and net dollars added ran neck-and-neck with AWS and well ahead of Azure. More impressively, momentum continues to build even as expectations reset higher, with investors now looking for triple-digit Y/Y growth in 3Q. Demand remains broad-based across GCP, enterprise AI solutions, AI infrastructure, and core cloud services, while third-party TPU sales are opening an entirely new monetization vector. After delays, the much awaited Gemini 4 Argon is now available. While near-term capacity constraints remain a watch item and could create some margin pressure, the long-term story is increasingly compelling: exceptional Cloud momentum, a robust backlog, emerging TPU monetization, and one of the industry's most differentiated vertically integrated AI stacks.

EXHIBIT 9: **Google.com total visits returned to Y/Y growth for 5 consecutive quarters in 3Q, growing +3% Y/Y vs. +4% in 2Q26, and improved sequentially**



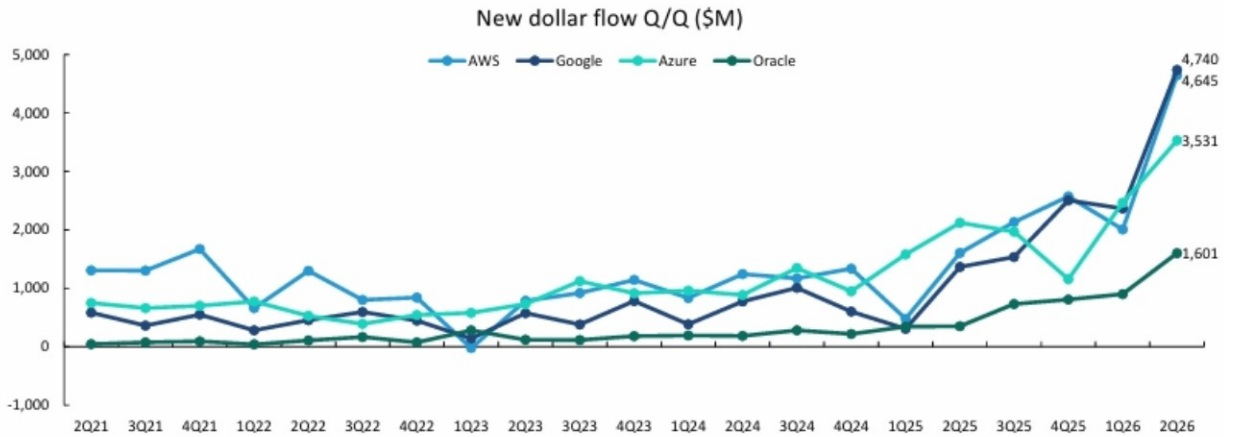
Source: Similarweb, Bernstein analysis

EXHIBIT 10: **Visits to ads.google.com however declined Y/Y and were flat Q/Q**



Source: Similarweb, Bernstein analysis

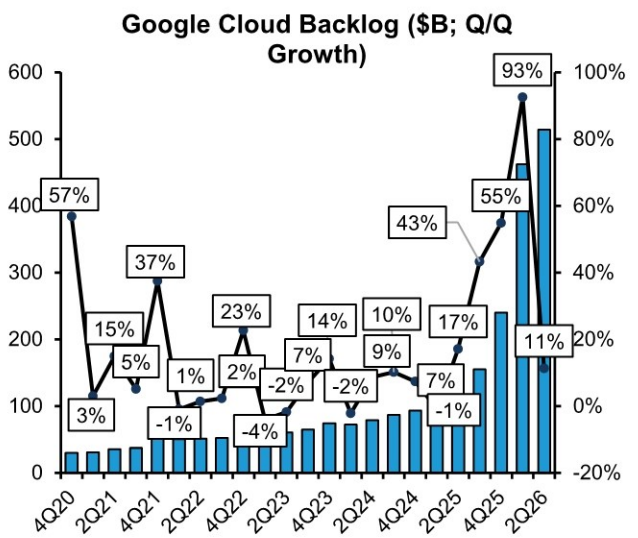
EXHIBIT 11: **On a Q/Q basis, AWS added $4.6B vs Azure at $3.5B vs Google Cloud at $4.7B vs Oracle at $1.6B in 2Q26**



Microsoft Azure historical revenue is based on our estimates. Management has definition for Azure and is now giving Azure numbers. This chart is based on the old reporting.

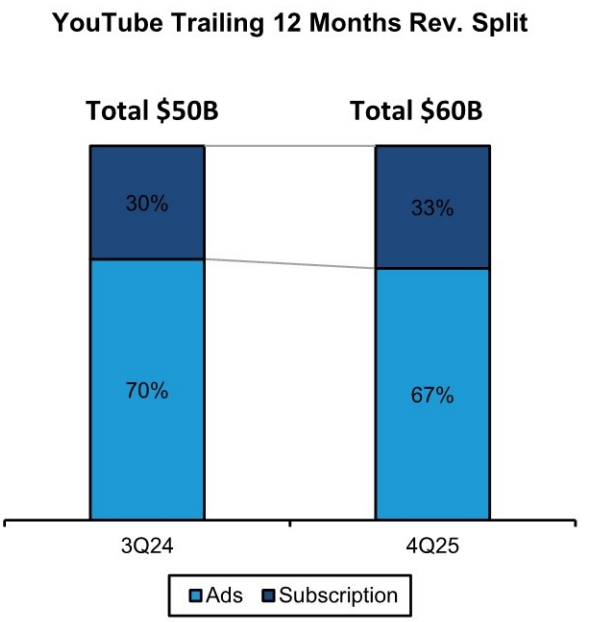
Please note that Alibaba no longer provides cloud revenue excluding internal transfers. Our revenue number is an estimate based on historical data.
Source: Company reports, Bernstein estimates and analysis

EXHIBIT 12: **Google Cloud's backlog went to all-time-high to ~$514B**



Source: Company reports, Bernstein analysis

EXHIBIT 13: **YouTube total revenue is mix-shifting towards subscription**



Source: Company reports, Bernstein analysis

REDDIT

Investment debate around Reddit remains centered on three key questions: the durability of its core ad revenue, the trajectory of user engagement, and the long-term value and monetization of its data. While core continues to be strong and data licensing continues to be uncertain, we have seen some early positive signals around user growth, will that move the stock this quarter?

- **The core ad business remains solid, with potential to break through the small-cap ceiling,** supported by improving ad tech, new formats, and a growing advertiser base. Unlike smaller internet platforms such as Pinterest and Snapchat that

are more dependent on specific verticals, Reddit is more diversified, with clear commercial intent across many communities. Management recently noted that roughly 40% of Reddit conversations are commercial and pushed back on concerns that revenue could plateau at $4B-$5B, arguing that its addressable market remains broad.

- **AI-powered performance advertising continues to expand:** During 3Q, Reddit made Max campaigns available to all advertisers and added Advertising API support, Smartly integration, and asset groups, making its automated campaign tools easier for advertisers and agencies to adopt at scale.

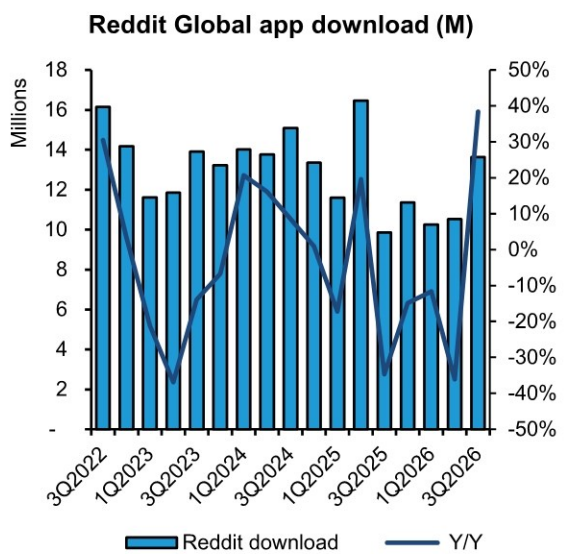
- **Lower-funnel advertising remains a key focus:** In early October, Reddit also expanded Max into lead generation and introduced new in-market audiences, CRM integrations, and measurement partnerships, broadening its performance capabilities beyond app installs and conversions into lead generation.

- **User growth remains the biggest challenge, though recent signals are more encouraging:** Traffic remains exposed to changes in Google Search and AI chatbots. The phasing-out of logged-in/out disclosures also adds more uncertainties. However, management said new-user retention improved roughly 50% last quarter, while our tracking showed positive download growth during 3Q (Exhibit 14), which could provide an incremental positive catalyst. Reddit also began testing an AI-powered Ask tab, separate For You and Following feeds, and AI summaries of trending conversations, which could improve discovery, retention, and direct engagement.

- **Data licensing continue to be misty:** As the deal with Google coming closer to its ending term in 2027, data licensing have been receiving more investors' attention. While we believe Reddit's authentic, human-generated recommendations are inherently valuable, there are open questions around its data-licensing philosophy, particularly as AI chatbots have limited incentives to route traffic back to Reddit, making this third debate also unsolved and controversial.

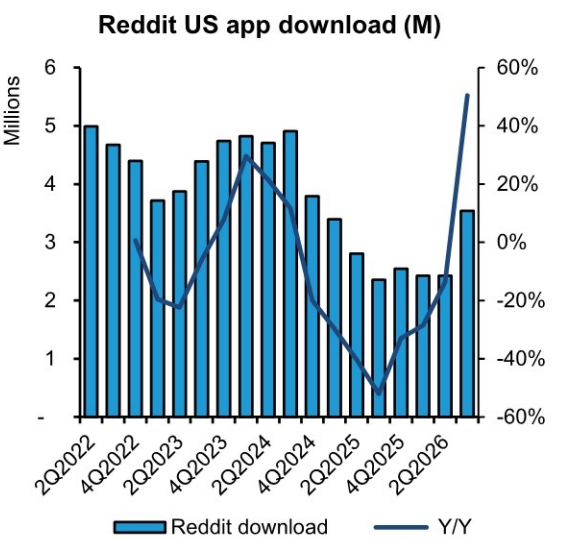
- **Strong cash generation provides additional capital-allocation flexibility:** Management recently indicated that share repurchases could continue at roughly a $500M annual pace, helping offset dilution and potentially supporting the stock. Reddit's addition to the S&P 500 in August also broadened its relevance among institutional investors.

EXHIBIT 14: **Global app downloads grew 38% Y/Y and improved sequentially**



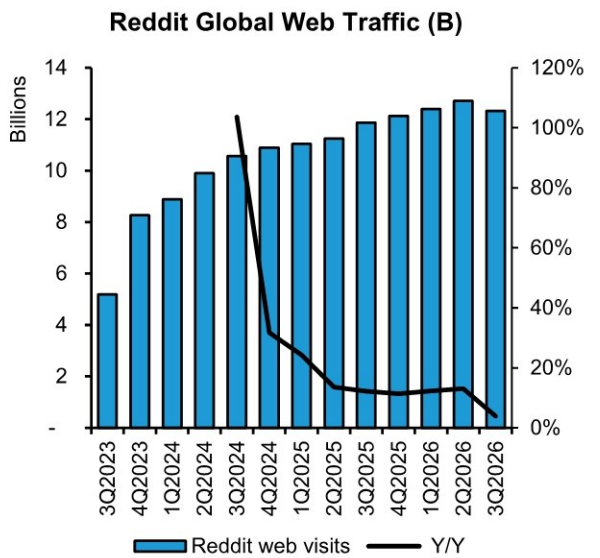
Source: Sensortower, Bernstein analysis

EXHIBIT 15: **US downloads grew 50% Y/Y, and improved Q/Q**



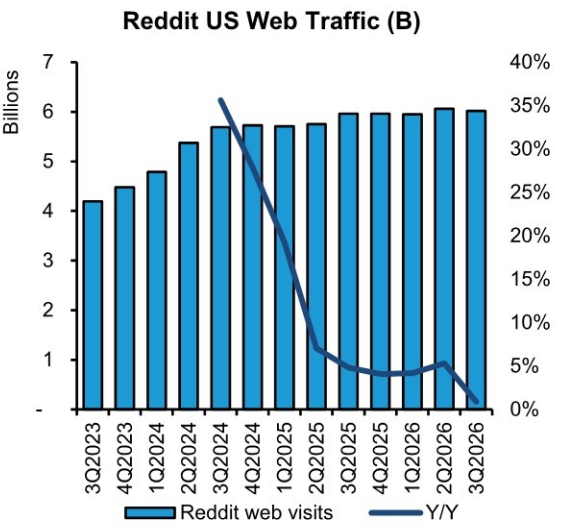
Source: Sensortower, Bernstein analysis

EXHIBIT 16: **Global web traffic was up +4% Y/Y**



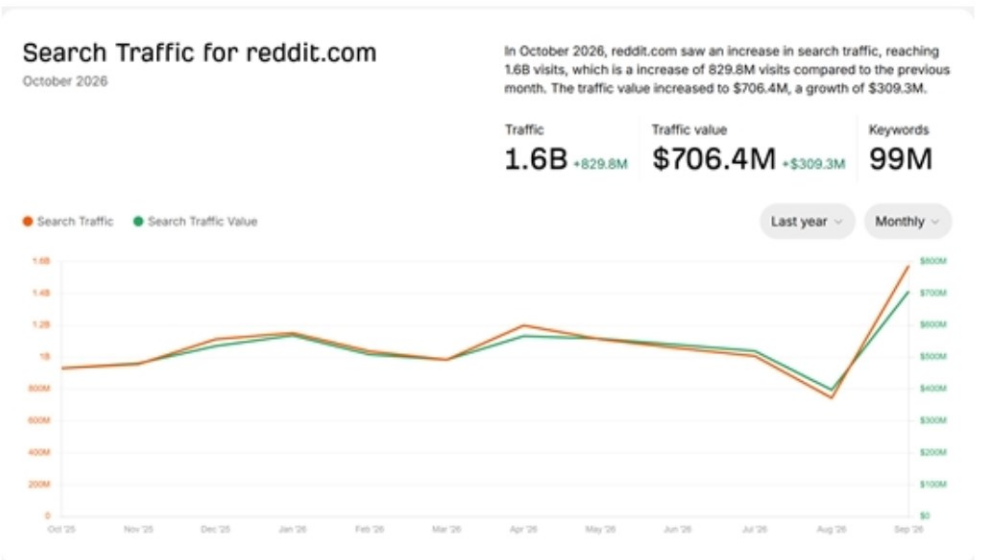
Source: Similarweb, Bernstein analysis

EXHIBIT 17: **Reddit's US web traffic grew by 1% Y/Y**



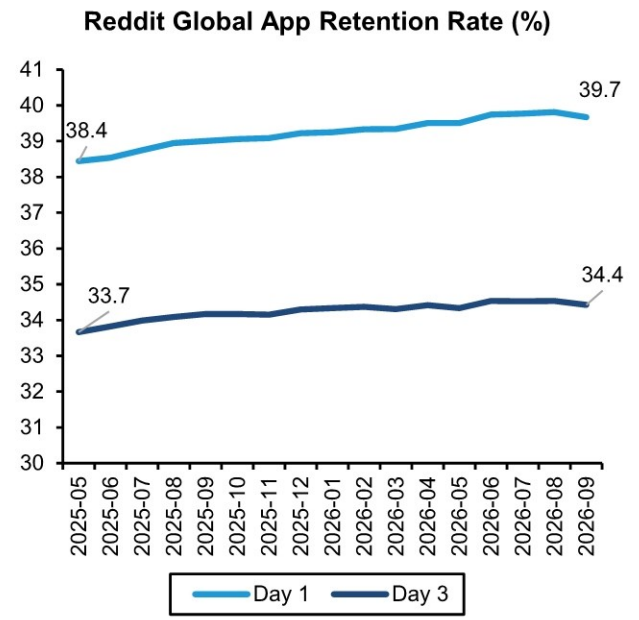
Source: Similarweb, Bernstein analysis

EXHIBIT 18: **According to data from Ahrefs, Reddit's traffic was trending up in 3Q**



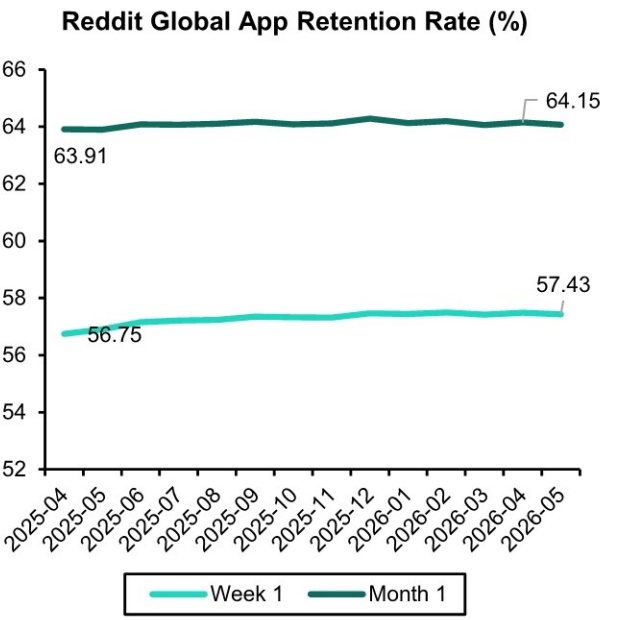
Source: Ahrefs, Bernstein analysis

EXHIBIT 19: **Reddit's Day 1 and Day 3 retention rates have seen visible improvement over the past year**



Source: Sensortower, Bernstein analysis

EXHIBIT 20: **Week 1 and Month 1 retention also improved but not as significant**



Source: Sensortower, Bernstein analysis

PINTEREST

Pinterest remains cheap but a show-me story. Investors are waiting to see positive inflection signs of its US revenue growth and EBITDA guidance. Based on alternative data, revenue remained mostly stable during the quarter, although early October trend could be concerning.

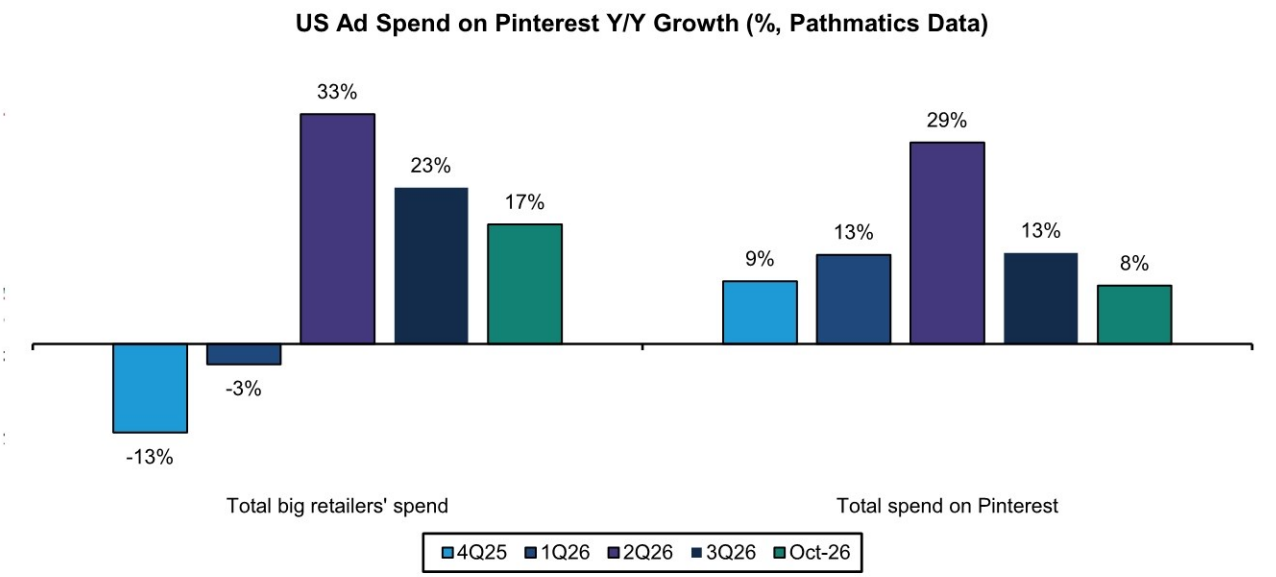
- **Revenue signals mixed:**
  - Pathmatics data suggests total large retailer ad spend (Pinterest's key customers) and total ad spend on Pinterest decelerated in 3Q vs. 2Q (Exhibit 21), consistent with management's guidance. And the revenue trend remains relatively stable since the guidance was given in July (Exhibit 22).
  - However, early October signal is a bit concerning, as it shows further deceleration from 3Q (Exhibit 21).
- **CFO transition could add relevant operating experience:** James Dibbo, previously a senior finance leader across Amazon Ads, entertainment, and consumer businesses, will become Pinterest's CFO on October 26. His experience aligns well with Pinterest's growing focus on shopping, performance advertising, and operational discipline.
- **New product launches and partnerships add to Pinterest's long-term potential:**
  - **AI-powered performance advertising capabilities continue to expand:** In September, Pinterest launched Visual Search Ads and added Priority Products, self-serve A/B testing, and App Promotion to its performance suite, creating new ways to monetize the platform's more than 80B monthly searches and high commercial intent. Management recently noted that lower-funnel products now account for more than two-thirds of revenue, while advertiser clicks have increased more than 5x over the past three years, highlighting Pinterest's progress in becoming a broader performance platform.
  - **AI infrastructure continues to improve:** Pinterest expanded its partnership with NVIDIA to support visual search and conversational shopping, enabling Pinterest Assistant to process 25x more visual context per request with materially lower latency.

- **Programmatic access could broaden demand:** Pinterest opened selected inventory to programmatic buyers through major platforms including Amazon Ads and Google Display & Video 360, making it easier for enterprise advertisers to add Pinterest to existing media plans.

- **User growth relatively stable:** International user growth slightly accelerated 6% in 3Q vs. 4% in 2Q, and U.S. trends are still somewhat soft (Exhibit 23).

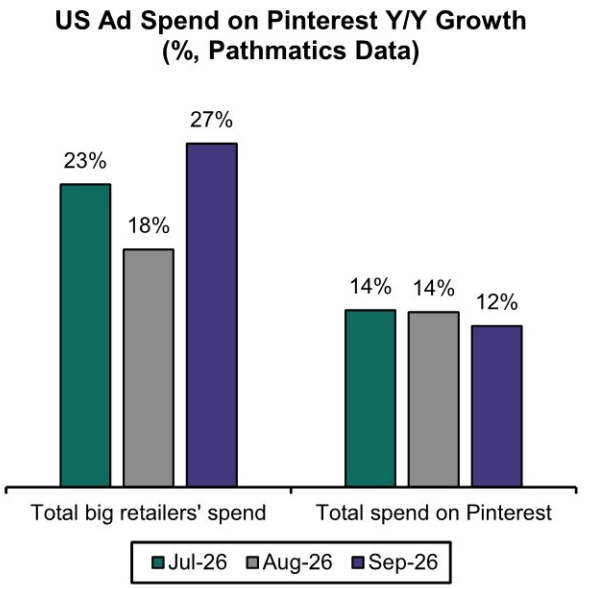
- **Valuation helps limit the downside.** PINS is trading near 5-year low (Exhibit 27). At the same time, longer-term competitive pressure from ChatGPT and TikTok, and Meta as they all move deeper into agentic commerce continues to weigh on Pinterest's valuation.

EXHIBIT 21: **Pathmatics data shows deceleration in 3Q26 and Oct. MTD**



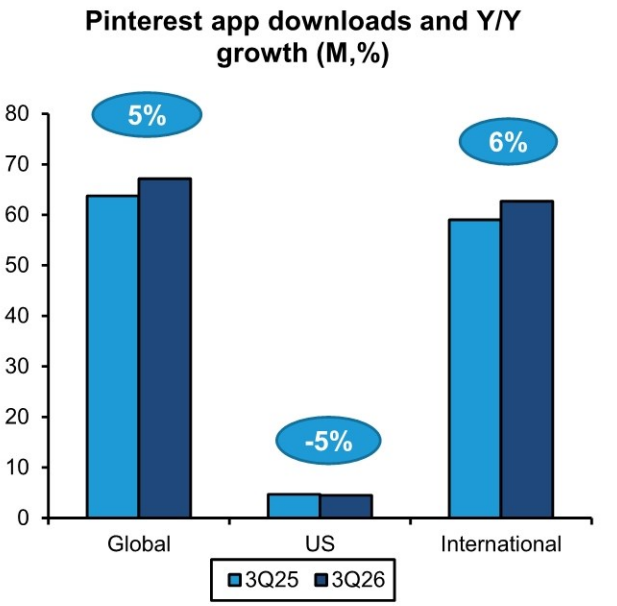
Large retailers include Amazon, Target, Walmart, Temu, The Kroger Co.,eBay, Wayfair, Home Depot, Etsy, Lowe's, Sheln, Sephora, Costco
Source: Pathmatics, Bernstein analysis

EXHIBIT 22: **The trend has fluctuated for big retailers since July 2026 when the management gave guidance, but relatively stable for Pinterest overall**



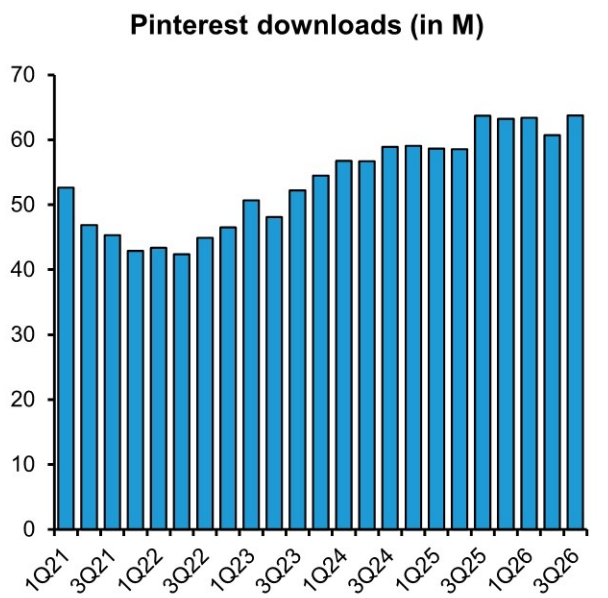
Large retailers include Amazon, Target, Walmart, Temu, The Kroger Co.,eBay, Wayfair, Home Depot, Etsy, Lowe's, Sheln, Sephora, Costco
Source: Pathmatics, Bernstein analysis

EXHIBIT 23: **Pinterest app downloads were up +5% Y/Y in 3Q whilst US downlods declined by -5% Y/Y**



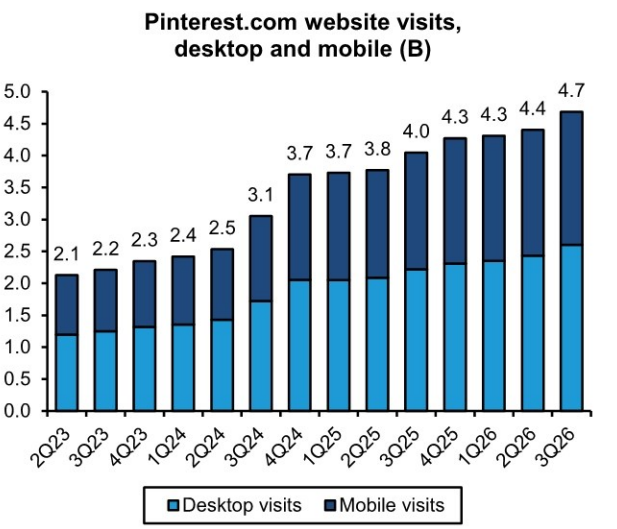
Source: SensorTower and Bernstein analysis

EXHIBIT 24: **Pinterest downloads improved sequentially**



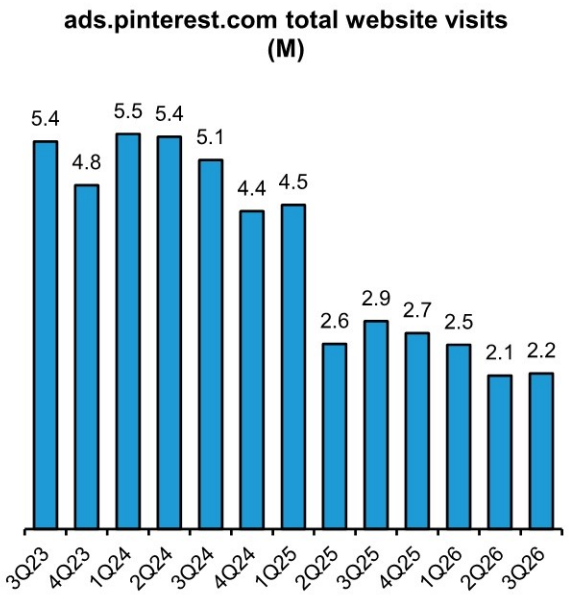
Source: SensorTower and Bernstein analysis

EXHIBIT 25: **Pinterest.com web visits grew +16% Y/Y and improved Q/Q**



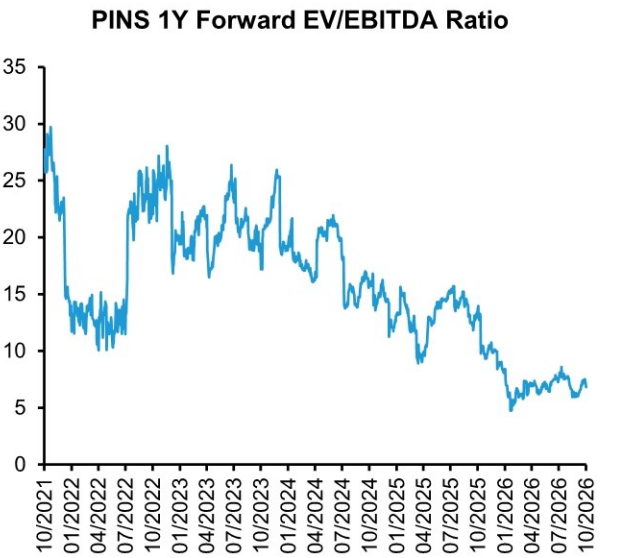
Source: SimilarWeb, Bernstein analysis

EXHIBIT 26: **... but its ad manager visits were down -25% Y/Y and flat Q/Q**



Source: SimilarWeb, Bernstein analysis

EXHIBIT 27: **PINS is trading at low point for forward EV/EBITDA, offering limited downside**



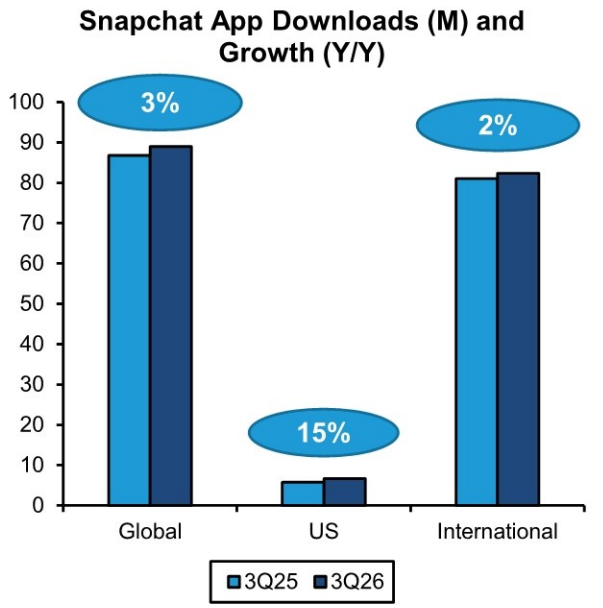
Source: Bloomberg, Bernstein analysis

SNAP

As a company in transition, we believe Snapchat will continue to be a volatile name driven by catalyst in both directions. Into Snap's 3Q print, investor focus will center on global DAUs and the trajectory of U.S. revenue, particularly the contribution from subscriptions.

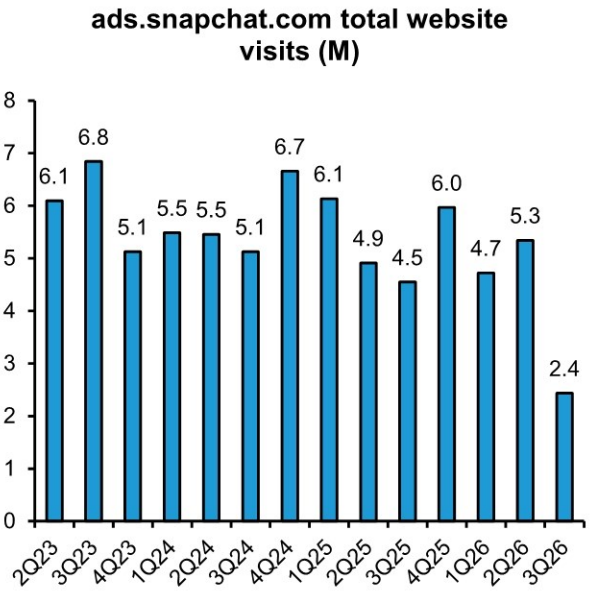
- **DAU seems to be improving:** Alternative data shows improvement in the download trend esp. in the U.S. (Exhibit 28); the growing age restrictions across different countries could create more noise given Snap's younger user base.
- **Revenue could offer upside:** Snap is lapping easy comps beginning in 3Q26, and we expect the Snapchat+ subscription business to remain a healthy contributor to growth.
- **Smart Glasses/AR ambitions continue to accelerate:** During 3Q, Snap provided a more detailed demonstration of SPECS, including new consumer and enterprise experiences, industry partnerships, and a cellular charging case. Snap also introduced SPECS Intelligence, an anticipatory AI service that works across iPhone, Mac, and SPECS and proactively surfaces relevant information based on users' goals, routines, and connected apps. While the launch makes Snap's AR and consumer-AI strategy more tangible, early adoption and the investment required to scale SPECS remain key areas to watch.
- **AI-powered performance advertising remained a key focus:** Snap rolled out Unified Attribution globally and introduced its Commerce Power Pack, which brings AI-powered Dynamic Product Ads to Sponsored Snaps within Chat, Snapchat's most-used surface. The company also launched Value Optimization, Third-Party Web Optimization, and Omnichannel Optimization tools, further strengthening measurement capabilities and lower-funnel performance advertising.
- **Longer-term competitive pressure remains:** Similar to Pinterest, Snapchat also faces competitive pressure from Meta, TikTok, and ChatGPT, which could continue to weigh on sentiment.

EXHIBIT 28: **Snap downloads were up 2% in international market with US grew by 15%**



Source: Sensortower, Bernstein analysis

EXHIBIT 29: **Website visits to Snap's ad manager were down 46% Y/Y**



Source: Similarweb, Bernstein analysis

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 30: **Our Alphabet model**

in millions except per share and percentage data

GOOGL	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26E	FY2025	FY2026E	FY2027E	FY2028E
GAAP INCOME STATEMENT												
Revenue	**90,234**	**96,428**	**102,346**	**113,828**	**109,896**	**119,796**	**128,127**	**142,530**	**402,836**	**500,349**	**622,916**	**770,803**
Cost of Revenue	36,361	39,039	41,369	45,766	41,271	45,943	49,975	55,726	162,535	192,915	235,070	285,382
Research and Development	13,556	13,808	15,151	18,572	17,032	18,219	20,628	22,805	61,087	78,684	100,912	124,870
Sales and Marketing	6,172	7,101	7,205	8,215	7,606	8,403	9,225	10,262	28,693	35,496	44,265	54,779
General and Administrative	3,539	5,209	7,393	5,341	4,291	6,461	5,253	6,129	21,482	22,134	26,261	32,507
One Time costs (restructuring & fines)	-	-	-	-	-	-	-	-	-	-	-	-
Total Expenses	**59,628**	**65,157**	**71,118**	**77,894**	**70,200**	**79,026**	**85,081**	**94,922**	**273,797**	**329,229**	**406,508**	**497,538**
EBIT	**30,606**	**31,271**	**31,228**	**35,934**	**39,696**	**40,770**	**43,045**	**47,608**	**129,039**	**171,119**	**216,408**	**273,265**
D&A	4,487	4,998	5,611	6,040	6,482	7,104	9,994	11,117	21,136	34,697	57,308	84,788
EBITDA (incl. SBC)	**35,093**	**36,269**	**36,839**	**41,974**	**46,178**	**47,874**	**53,039**	**58,725**	**150,175**	**205,817**	**273,716**	**358,053**
Other Income (Expenses)	11,183	2,662	12,759	3,183	37,716	97,983	5,000	5,000	29,787	145,699	16,000	10,000
Net Income	**34,540**	**28,196**	**34,979**	**34,455**	**62,578**	**112,193**	**40,022**	**43,822**	**132,170**	**258,615**	**193,596**	**235,960**
Weight Avg. Diluted Shares	12,291	12,198	12,203	12,228	12,238	12,309	12,389	12,471	12,230	12,352	12,537	12,658
Diluted GAAP EPS	**2.81**	**2.31**	**2.87**	**2.82**	**5.11**	**9.11**	**3.23**	**3.51**	**10.81**	**20.97**	**15.44**	**18.64**
GAAP Margins:												
Gross Margin	60%	60%	60%	60%	62%	62%	61%	61%	60%	61%	62%	63%
EBIT Margin (ex-One Time Fines)	34%	34%	34%	33%	36%	34%	34%	33%	32%	34%	35%	35%
EBITDA Margin (ex-One Time Fines)	39%	38%	36%	37%	42%	40%	41%	41%	37%	41%	44%	46%
Y/Y Growth (GAAP):												
Revenue	12%	14%	16%	18%	22%	24%	25%	25%	15%	24%	24%	24%
EBITDA	21%	16%	13%	19%	32%	32%	44%	40%	11%	19%	22%	21%
EPS	52%	22%	35%	31%	82%	294%	13%	25%	35%	94%	-26%	21%
ADJUSTED ITEMS												
Adjusted EBITDA (ex-SBC)	40,609	42,267	43,207	49,045	52,929	55,831	61,011	67,579	175,128	237,351	312,974	406,629
Adjusted EBITDA Margin	45%	44%	42%	43%	48%	47%	48%	47%	43%	47%	50%	53%
Non-GAAP Net Income	40,056	34,194	41,347	41,526	69,329	120,150	47,994	52,676	157,123	290,149	232,853	284,535
Diluted Non-GAAP EPS	**3.26**	**2.80**	**3.39**	**3.40**	**5.67**	**9.76**	**3.87**	**4.22**	**12.85**	**23.49**	**18.57**	**22.48**
KEY METRICS (ex-Other Bets)												
Search	50,702	54,190	56,567	63,073	60,399	63,271	65,052	71,903	224,532	260,625	291,900	324,009
YouTube	8,927	9,796	10,261	11,383	9,883	11,055	11,359	12,681	40,367	44,978	49,700	54,173
Network Members	7,256	7,354	7,354	7,828	6,971	7,303	7,126	7,585	29,792	28,985	28,261	27,588
Advertising Revenue	**66,885**	**71,340**	**74,182**	**82,284**	**77,253**	**81,629**	**83,537**	**92,169**	**294,691**	**334,588**	**369,861**	**405,771**
Cloud	12,260	13,624	15,157	17,664	20,028	24,768	29,253	34,092	58,705	108,141	186,957	291,653
Other	10,379	11,203	12,870	13,578	12,384	12,911	14,981	15,886	48,030	56,162	64,512	71,737
Google Segment Revenues	**89,524**	**96,167**	**102,209**	**113,526**	**109,665**	**119,308**	**127,771**	**142,147**	**401,426**	**498,891**	**621,330**	**769,161**
Advertising Growth (Y/Y)	8%	10%	13%	14%	16%	14%	13%	12%	11%	14%	11%	10%
Google Segment Growth (Y/Y)	12%	14%	16%	18%	22%	24%	25%	25%	12%	11%	11%	9%
BALANCE SHEET & CASH FLOW												
Cash + Marketable Securities	95,328	95,148	98,496	126,843	126,840	242,474	247,033	257,575	126,843	257,575	168,348	149,904
Property and equipment, net	185,062	203,231	223,787	246,597	281,020	321,212	368,875	421,896	246,597	421,896	694,111	938,455
All Other	194,984	203,674	214,186	221,841	296,059	358,297	355,766	374,399	221,841	374,399	437,094	515,138
Total Assets	**475,374**	**502,053**	**536,469**	**595,281**	**703,919**	**921,983**	**971,675**	**1,053,870**	**595,281**	**1,053,870**	**1,299,553**	**1,603,497**
FCF	18,953	5,301	24,461	24,551	10,116	(5,855)	(8,373)	(2,370)	73,266	(6,482)	(59,840)	12,390
FCF Margin	21%	5%	24%	22%	9%	-5%	-7%	-2%	18%	-1%	-10%	2%

Source: Company reports, Bernstein estimates and analysis

EXHIBIT 31: **Our RDDT model**

in Thousands except per share and percentage data

RDDT	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26E	FY2025	FY2026E	FY2027E	FY2028E
GAAP INCOME STATEMENT												
Revenue	**392,361**	**499,627**	**584,911**	**725,607**	**663,411**	**804,905**	**900,943**	**1,095,178**	**2,202,506**	**3,464,436**	**4,605,773**	**5,772,287**
Cost of Revenue	37,089	45,900	52,509	58,718	56,267	70,308	76,897	87,993	194,216	291,464	379,997	483,243
Research and Development	191,271	196,610	196,379	198,885	207,246	231,276	269,054	308,884	783,145	1,016,460	1,311,804	1,528,352
Sales and Marketing	90,685	120,619	128,707	163,852	151,472	195,897	204,901	237,396	503,863	789,666	1,008,537	1,212,007
General and Administrative	69,413	68,787	68,774	72,324	65,514	75,708	86,115	102,782	279,298	330,119	417,482	479,928
Total Expenses	**388,458**	**431,916**	**446,369**	**493,779**	**480,499**	**573,189**	**636,966**	**737,055**	**1,760,522**	**2,427,709**	**3,117,821**	**3,703,530**
EBIT	**3,903**	**67,711**	**138,542**	**231,828**	**182,912**	**231,716**	**263,976**	**358,123**	**441,984**	**1,036,727**	**1,487,952**	**2,068,758**
D&A	3,963	3,934	3,900	4,151	4,210	4,258	4,766	5,794	15,948	19,028	24,365	30,536
EBITDA (incl. SBC)	**7,866**	**71,645**	**142,442**	**235,979**	**187,122**	**235,974**	**268,742**	**363,917**	**457,932**	**1,055,755**	**1,512,317**	**2,099,294**
Other Expenses (Benefits)	(22,255)	(21,586)	(24,121)	(19,775)	(21,069)	(21,132)	20,867	34,177	(87,737)	12,843	144,177	231,298
Net Income	**26,158**	**89,297**	**162,663**	**251,603**	**203,981**	**252,848**	**243,109**	**323,946**	**529,721**	**1,023,885**	**1,343,775**	**1,837,460**
Weight Avg. Diluted Shares	201,275	199,522	202,728	202,932	202,524	202,030	202,737	203,446	201,614	202,684	205,233	208,121
GAAP EPS	**0.13**	**0.45**	**0.80**	**1.24**	**1.01**	**1.25**	**1.20**	**1.59**	**2.63**	**5.05**	**6.55**	**8.83**
GAAP Margins:												
Gross Margin	91%	91%	91%	92%	92%	91%	91%	92%	91%	92%	92%	92%
EBIT Margin	1%	14%	24%	32%	28%	29%	29%	33%	20%	30%	32%	36%
EBITDA Margin	2%	14%	24%	33%	28%	29%	30%	33%	21%	30%	33%	36%
Y/Y Growth (GAAP):												
Revenue	61%	78%	68%	70%	69%	61%	54%	51%	69%	57%	33%	25%
GAAP EPS	-102%	-828%	417%	247%	675%	180%	49%	28%	-185%	92%	30%	35%
NON-GAAP METRICS												
Adjusted EBITDA	115,271	166,749	236,007	327,046	265,970	342,810	408,388	506,290	845,073	1,523,458	2,083,445	2,665,652
Adjusted EBITDA Margin	29%	33%	40%	45%	40%	43%	45%	46%	38%	44%	45%	46%
Adjusted EBIT	111,308	162,815	232,107	322,895	261,760	338,552	403,622	500,496	829,125	1,504,430	2,059,080	2,635,116
Adjusted EBIT Margin	28%	33%	40%	44%	39%	42%	45%	46%	38%	43%	45%	46%
KEY METRICS												
DAUq (in millions):												
U.S.	50	50	52	53	54	53	55	56	53	56	60	64
ROW	58	60	64	69	73	77	79	83	69	83	94	107
Global	108	110	116	121	127	130	134	139	121	139	154	172
Global DAUq Growth (Y/Y)	31%	21%	19%	19%	17%	18%	16%	14%	19%	14%	11%	11%
ARPU:												
U.S.	6.27	7.87	9.04	10.79	9.63	11.85	13.13	15.39	34.01	48.94	59.79	68.48
ROW	1.34	1.73	1.84	2.31	2.02	2.26	2.27	2.79	6.05	8.65	10.74	12.73
Global	3.63	4.53	5.04	5.98	5.23	6.18	6.72	7.89	18.14	24.95	29.84	33.61
Global ARPU Growth (Y/Y)	23%	47%	41%	42%	44%	36%	33%	32%	42%	38%	20%	13%
BALANCE SHEET & CASH FLOW												
Cash + Marketable Securities	1,951,142	2,059,941	2,225,823	2,476,811	2,770,632	2,786,357	3,172,609	3,643,179	2,476,811	3,643,179	5,575,958	8,002,180
All Other	485,882	572,261	650,553	762,362	713,651	850,248	846,751	842,501	762,362	842,501	824,625	802,221
Total Assets	**2,437,024**	**2,632,202**	**2,876,376**	**3,239,173**	**3,484,283**	**3,636,605**	**4,019,361**	**4,485,680**	**3,239,173**	**4,485,680**	**6,400,583**	**8,804,402**
CF from Operations	127,578	111,331	185,159	266,807	312,253	261,876	387,522	472,113				
FCF	**126,599**	**110,826**	**183,101**	**263,643**	**311,163**	**260,742**	**386,252**	**470,570**				
FCF Margin	32%	22%	31%	36%	47%	32%	43%	43%				

Source: Company reports, Bernstein estimates and analysis

EXHIBIT 32: **Our PINS model**

in millions except per share and percentage data

PINS	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26E	FY2024	FY2025	FY2026E	FY2027E	FY2028E
GAAP INCOME STATEMENT													
Revenue	**855**	**998**	**1,049**	**1,319**	**1,008**	**1,180**	**1,211**	**1,545**	**3,646**	**4,222**	**4,943**	**5,681**	**6,370**
Cost of Revenue	199	203	212	227	239	257	252	280	750	842	1,027	1,148	1,286
Research and Development	332	360	371	365	381	451	432	439	1,241	1,427	1,703	1,924	2,093
Sales and Marketing	254	313	297	303	318	374	343	358	1,012	1,167	1,394	1,540	1,681
General and Administrative	106	127	110	123	151	152	120	131	464	466	554	550	626
Total Expenses	**890**	**1,003**	**991**	**1,018**	**1,088**	**1,235**	**1,147**	**1,208**	**3,466**	**3,902**	**4,678**	**5,163**	**5,686**
EBIT	**(35)**	**(4)**	**59**	**301**	**(80)**	**(55)**	**64**	**337**	**180**	**320**	**265**	**519**	**684**
D&A	6	6	7	6	7	10	8	7	21	25	32	35	37
EBITDA (incl. SBC)	**(30)**	**2**	**66**	**307**	**(73)**	**(45)**	**72**	**343**	**201**	**345**	**297**	**554**	**722**
Other Expenses (Benefits)	(44)	(43)	(34)	24	(7)	(9)	8	63	(1,682)	(97)	55	86	118
Net Income	**9**	**39**	**92**	**277**	**(74)**	**(47)**	**56**	**274**	**1,862**	**417**	**210**	**432**	**567**
Weight Avg. Diluted Shares	689	690	695	677	637	563	564	565	693	688	582	568	573
GAAP EPS	**0.01**	**0.06**	**0.13**	**0.41**	**(0.12)**	**(0.08)**	**0.10**	**0.49**	**2.70**	**0.61**	**0.39**	**0.76**	**0.99**
GAAP Margins:													
Gross Margin	77%	80%	80%	83%	76%	78%	79%	82%	79%	80%	79%	80%	80%
EBIT Margin	-4%	0%	6%	23%	-8%	-5%	5%	22%	5%	8%	5%	9%	11%
EBITDA Margin	-3%	0%	6%	23%	-7%	-4%	6%	22%	6%	8%	6%	10%	11%
Y/Y Growth (GAAP):													
Revenue	16%	17%	17%	14%	18%	18%	15%	17%	19%	16%	17%	15%	12%
NON-GAAP METRICS													
Adjusted EBITDA	172	251	306	542	207	311	347	621	1,032	1,270	1,486	1,757	2,007
Adjusted EBITDA Margin	20%	25%	29%	41%	20%	26%	29%	40%	28%	30%	30%	31%	32%
Non-GAAP Net Income (loss)	160	228	263	451	137	238	275	504	901	1,101	1,154	1,427	1,626
Non-GAAP Net Income Margin	19%	23%	25%	34%	14%	20%	23%	33%	25%	26%	23%	25%	26%
Non-GAAP EPS	**0.23**	**0.33**	**0.38**	**0.67**	**0.21**	**0.42**	**0.49**	**0.89**	**1.30**	**1.60**	**1.98**	**2.51**	**2.84**
KEY METRICS													
MAU (in millions):													
U.S. and Canada	102	102	103	105	106	106	106	107	101	105	107	109	111
Europe	148	146	150	158	159	157	161	169	145	158	169	179	188
ROW	320	329	347	356	367	377	389	399	307	356	399	443	482
Global	**570**	**578**	**600**	**619**	**631**	**640**	**655**	**675**	**553**	**619**	**675**	**731**	**782**
Global MAU Growth (Y/Y)	10%	11%	12%	12%	11%	11%	9%	9%	11%	12%	9%	8%	7%
Ad Revenue per MAU:													
U.S. and Canada	6.54	7.29	7.64	9.41	7.12	8.30	8.52	10.60	28.55	30.22	34.26	38.13	41.12
Europe	1.00	1.30	1.31	1.59	1.17	1.35	1.31	1.64	4.10	4.91	5.24	5.54	5.80
ROW	0.14	0.19	0.21	0.27	0.20	0.23	0.25	0.33	0.55	0.77	0.97	1.18	1.44
Global	**1.52**	**1.74**	**1.78**	**2.16**	**1.61**	**1.86**	**1.85**	**2.29**	**6.59**	**6.82**	**7.33**	**7.77**	**8.15**
Global ARPU Growth (Y/Y)	4%	6%	5%	2%	6%	7%	4%	6%	7%	3%	7%	6%	5%
BALANCE SHEET & CASH FLOW													
Cash + Marketable Securities	2,615	2,659	2,671	2,467	1,299	1,275	1,564	1,626	2,513	2,467	1,626	3,004	4,577
All Other	2,667	2,744	2,844	3,025	3,347	3,484	3,554	4,089	2,830	3,025	4,089	4,426	4,764
Total Assets	**5,283**	**5,403**	**5,515**	**5,492**	**4,645**	**4,759**	**5,118**	**5,715**	**5,343**	**5,492**	**5,715**	**7,430**	**9,341**
FCF	**356**	**197**	**318**	**380**	**312**	**270**	**289**	**62**	**940**	**1,252**	**932**	**1,378**	**1,573**
FCF Margin	42%	20%	30%	29%	31%	23%	24%	4%	26%	30%	19%	24%	25%

Source: Company reports, Bernstein estimates and analysis

EXHIBIT 33: **Our SNAP model**

in millions except per share and percentage data

SNAP	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26E	FY2024	FY2025	FY2026E	FY2027E
GAAP INCOME STATEMENT																
Revenue	**1,195**	**1,237**	**1,373**	**1,557**	**1,363**	**1,345**	**1,507**	**1,716**	**1,529**	**1,599**	**1,740**	**1,937**	**5,361**	**5,931**	**6,804**	**7,594**
Cost of Revenue	575	589	639	672	640	653	674	702	665	668	717	779	2,474	2,670	2,829	3,130
Research and Development	450	406	413	423	424	443	453	473	478	542	495	534	1,692	1,794	2,050	2,247
Sales and Marketing	276	266	273	248	258	258	256	249	239	298	292	279	1,064	1,021	1,108	1,197
General and Administrative	227	229	221	241	235	250	251	242	221	261	212	236	919	979	930	957
Total Expenses	**1,528**	**1,491**	**1,546**	**1,584**	**1,557**	**1,605**	**1,635**	**1,667**	**1,603**	**1,770**	**1,716**	**1,828**	**6,149**	**6,464**	**6,917**	**7,531**
EBIT	**(333)**	**(254)**	**(173)**	**(27)**	**(194)**	**(260)**	**(128)**	**50**	**(74)**	**(171)**	**24**	**109**	**(787)**	**(532)**	**(112)**	**63**
D&A	42	38	39	40	38	40	43	43	45	46	47	47	158	164	183	194
EBITDA (incl. SBC)	**(292)**	**(216)**	**(134)**	**13**	**(156)**	**(220)**	**(86)**	**93**	**(30)**	**(125)**	**70**	**156**	**(629)**	**(369)**	**71**	**258**
Other Expenses (Benefits)	(28)	(5)	(20)	(36)	(54)	3	(25)	5	15	(7)	27	28	(89)	(72)	63	52
Net Income	**(305)**	**(249)**	**(153)**	**9**	**(140)**	**(263)**	**(104)**	**45**	**(89)**	**(164)**	**(4)**	**82**	**(698)**	**(460)**	**(175)**	**11**
Weight Avg. Diluted Shares	1,639	1,645	1,663	1,717	1,696	1,675	1,697	1,720	1,688	1,663	1,669	1,675	1,666	1,697	1,674	1,690
GAAP EPS	**(0.19)**	**(0.15)**	**(0.09)**	**0.01**	**(0.08)**	**(0.16)**	**(0.06)**	**0.03**	**(0.05)**	**(0.10)**	**(0.00)**	**0.05**	**(0.42)**	**(0.27)**	**(0.10)**	**0.01**
GAAP Margins:																
Gross Margin	52%	52%	53%	57%	53%	51%	55%	59%	56%	58%	59%	60%	54%	55%	58%	59%
EBIT Margin	-28%	-21%	-13%	-2%	-14%	-19%	-9%	3%	-5%	-11%	1%	6%	-15%	-9%	-2%	1%
EBITDA Margin	-24%	-17%	-10%	1%	-11%	-16%	-6%	5%	-2%	-8%	4%	8%	-12%	-6%	1%	3%
Y/Y Growth (GAAP):																
Revenue	21%	16%	15%	14%	14%	9%	10%	10%	12%	19%	15%	13%	16%	11%	15%	12%
NON-GAAP METRICS																
Adjusted EBITDA	46	55	132	276	108	41	182	358	233	250	348	465	509	689	1,296	1,541
Adjusted EBITDA Margin	4%	4%	10%	18%	8%	3%	12%	21%	15%	16%	20%	24%	9%	12%	19%	20%
KEY METRICS																
DAU (in millions):																
North America	100	100	100	100	99	98	98	94	92	92	91	91	100	94	91	91
Europe	96	97	99	99	99	100	100	98	97	98	101	101	99	98	101	103
Rest of World	226	235	244	254	262	271	280	282	294	303	308	310	254	282	310	333
Global	**422**	**432**	**443**	**453**	**460**	**469**	**477**	**474**	**483**	**493**	**500**	**502**	**453**	**474**	**502**	**527**
Global DAU Growth (Y/Y)	10%	9%	9%	9%	9%	9%	8%	5%	5%	5%	5%	6%	9%	5%	6%	5%
Ad Revenue per DAU:																
North America	7.43	7.68	8.58	9.69	8.40	8.37	9.16	10.91	9.25	10.25	10.74	12.03	33.37	38.04	42.44	45.22
Europe	2.04	2.37	2.51	2.90	2.26	2.65	2.98	3.48	3.34	3.61	3.77	4.06	9.71	11.51	14.52	16.65
Rest of World	1.13	1.02	1.09	1.19	1.17	0.96	1.11	1.24	1.20	1.00	1.24	1.39	4.18	4.35	4.74	5.33
Global	**2.83**	**2.86**	**3.10**	**3.44**	**2.96**	**2.87**	**3.16**	**3.62**	**3.17**	**3.24**	**3.48**	**3.86**	**11.84**	**12.51**	**13.55**	**14.41**
Global ARPU Growth (Y/Y)	10%	6%	6%	5%	5%	0%	2%	5%	7%	13%	10%	6%	6%	6%	8%	6%
BALANCE SHEET & CASH FLOW																
Cash + Marketable Securities	2,911	3,081	3,192	3,376	3,207	2,893	2,993	2,941	2,823	2,660	2,787	3,086	3,376	2,941	3,086	4,282
All Other	4,256	4,339	4,399	4,560	4,382	4,506	4,585	4,737	4,679	4,810	4,838	5,007	4,560	4,737	5,007	5,203
Total Assets	**7,167**	**7,420**	**7,591**	**7,936**	**7,589**	**7,399**	**7,578**	**7,678**	**7,502**	**7,470**	**7,626**	**8,093**	**7,936**	**7,678**	**8,093**	**9,484**
FCF	**38**	**(73)**	**72**	**182**	**114**	**24**	**93**	**206**	**286**	**121**	**126**	**298**	**219**	**437**	**831**	**1,196**
FCF Margin	3%	-6%	5%	12%	8%	2%	6%	12%	19%	8%	7%	15%	4%	7%	12%	16%

Source: Company reports, Bernstein estimates and analysis

I. REQUIRED DISCLOSURES

References to "Bernstein" or the “Firm” in these disclosures relate to the following entities: Bernstein Institutional Services LLC (April 1, 2024 onwards), Sanford C. Bernstein & Co., LLC (pre April 1, 2024), Bernstein Autonomous LLP, BSG France S.A. (April 1, 2024 onwards), Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, Sanford C. Bernstein (Canada) Limited, Sanford C. Bernstein (India) Private Limited (SEBI registration no. INH000006378), Sanford C. Bernstein (Singapore) Private Limited, Sanford C. Bernstein Japan KK（サンフォード・C・バーンスタイン株式会社）and analysts employed by Société Générale Africa Technologies & Services to produce Bernstein research under a Global Services Agreement in place between Bernstein and Société Générale.

Bernstein is part of a joint venture between Société Générale (SG) and AllianceBernstein, L.P. (AB). Unless specifically noted otherwise, for purposes of these disclosures, references to Bernstein’s “affiliates” relate to both SG and AB and their respective affiliates.

VALUATION METHODOLOGY

Alphabet Inc

We value Alphabet on a Price Target of $385, using a 50/50 combination of 2027e EV/ EBIT multiple of 24x and a DCF using a WACC of 10% and a terminal growth of 3.5%. We consider Alphabet primarily a digital advertising business and benchmark valuation to comparable peers in this industry set.

Meta Platforms Inc.

We value Meta on a Price Target of $850 using a 50/50 combination of 2027e EV/Sales multiple of 7.7x, and a DCF using a WACC of 10% and a terminal growth of 3.5%. We consider Meta primarily a digital advertising business and benchmark valuation to comparable peers in this industry set.

Pinterest Inc

We value Pinterest on a price target of $28 using a 50/50 combination of 2027e EV/Sales multiple of 3x, and a DCF using a WACC of 11% and a terminal growth of 3%. We consider Pinterest primarily a digital advertising business and benchmark valuation to comparable peers in this industry set.

Snap Inc

We value Snapchat on a Price Target of $6 using a 50/50 combination of a 2027E EV/Sales multiple of 1.5x and a DCF using a WACC of 11% and a terminal growth rate of 1.5%. We consider Snapchat primarily a digital advertising business and benchmark valuation to comparable peers in this industry set.

Reddit Inc

We value Reddit on a Price Target of $180 using a 50/50 combination of 2027e EV/Sales multiple of 7x, and a DCF using a WACC of 11% and a terminal growth of 3.5%. We consider Reddit primarily a digital advertising business and benchmark valuation to comparable peers in this industry set.

Amazon.Com Inc

We value Amazon on a Price Target of $320 using a 50/50 combination of SOTP method (which values the Retail segment at a 2027E EV/Sales multiple of 3x and the AWS segment at a 2027E EV/EBIT multiple of 25x), and a DCF using a WACC of 9% and a terminal growth rate of 3.5%.

RISKS

Alphabet Inc

Upside risk to our price target:

- Faster than expected revenue growth tied to digital advertising recovery and idiosyncratic efforts or better than expected margins tied to recent effort to slow down hiring and small scale lay-offs.

- Favorable regulatory outcomes further entrenching Google's incumbency positions across both Search and Network.

Downside risk to our price target:

- Terminal risk narratives tied to Search disintermediation, either from negative headlines or share loss (users and/or revenue) in search. If search were to suffer topline changes it could have a trickle effect across the business and have a material impact on GOOGL's ad revenues and we would expect further de-rating in the stock.

- Alphabet is currently under investigation in multiple regulatory proceedings across both anti-trust and privacy, domestically and abroad. In particular, the DOJ case against Google on Search will likely reach a verdict later this year.

Meta Platforms Inc.

Downside risk to our target price:
• Meta is currently under investigation in multiple regulatory proceedings now mostly focused on teen-protection and anti-trust domestically and abroad.
• Signs that we're reaching maturity in digital ads, increased competition as alternatives emerge with compelling ad ROIs, or further privacy related changes (e.g., Cookie depreciation) could all put press on Meta's revenue outlook resulting in compressing revenue growth and de-rating.
• Meta's metaverse aspirations could lead to margin headwinds and potentially minimal ROIC, which could negatively affect both estimates and multiples.

Pinterest Inc

Downside risks to our price target:

- With any negative macro events that could put ad budgets under pressure, Pinterest could be at risk of ad dollars moving off the platform and being re-allocated to larger peers with more established direct response products.

- Pinterest trades at a higher multiple to peers with a compelling investor narrative, but if the company is unable to execute successfully on the vision of shifting user behavior towards shopping, recent investor optimism may cool.

- Slower roll out in any of their new products could lead to slower than anticipated revenue growth

Snap Inc

Upside risk to the price target:
• Snap trades heavily around revenue beats and misses, if core advertisers come back and/or the company is able to attract new ad buyers to the improved ad platform, monetization may accelerate ahead of our timetable.
• Snap's current investor narrative is unclear at the moment with limited investor confidence in management's forward looking commentary, efforts to improve investor messaging alongside proof of progress (potentially new partnership announcements) could win back investors and re-rate the stock.
Downside risk to the price target:
• With any negative macro events that could put ad budgets under pressure, Snapchat could be at risk of ad dollars moving off the platform and being re-allocated to larger peers with more established direct response products. If Snapchat is also unable to overcome ad measuring and tracking issues successfully, they could lose advertisers.
• Snapchat's primary users are Gen Z and younger millennials – a notoriously finicky group. Newer entrants like TikTok, Roblox, and several in-development apps are also going after this same age demo which could result in SNAP losing their status as the social home of this demo, which would severely dampen the financials and valuation of the company.

Reddit Inc

Upside risk to our price target:

- Faster than expected revenue growth helped by more data licensing deals.

- Higher than expected revenue growth if Reddit figures out the new ad platform and monetization accelerate ahead of our timetable.

- Faster than expected margin expansion tied to revenue growth acceleration and moderate expense growth.

Downside risk to our price target:

- Continued volatility in user growth number, particularly in the domestic market

- Data licensing revenue could start to slow and decline down the line

- More than expected revenue impact from macro slow down

Amazon.Com Inc

Downside risks to our price target:
• Amazon is currently under investigation in multiple regulatory proceedings across both anti-trust and privacy, domestically and abroad. Any regulations or actions by either the FTC, DOJ, or EU agencies could negatively impact the company's financials and valuation.
• New investments such as Groceries, Healthcare, AI, and Other Bets could result in a new investment cycle resulting in elevated capital intensity, compressing operating margins, and lower FCF.
• Share loss across core businesses from new eCommerce entrants and main AWS competitors could derate the multiples associated with both core businesses

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION

EQUITY RATINGS DEFINITIONS

Bernstein brand

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIAX) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

The Bernstein brand has three categories of ratings:

- Outperform: Stock will outpace the market index by more than 15 pp

- Market-Perform: Stock will perform in line with the market index to within +/-15 pp

- Underperform: Stock will trail the performance of the market index by more than 15 pp

Coverage Suspended: Coverage of a company under the Bernstein research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Not Covered (NC) denotes companies that are not under coverage.

Bernstein brand stock ratings are based on a 12-month time horizon.

Autonomous brand – common stocks

The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 600 Financials Price Return Index (E600BK) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 600 Insurance Price Return Index (E600IN) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P

Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments, and the Bloomberg Japan Financials Large & Mid Cap Price Return Index (JPFILM) for Japanese Financials. Ratings are stated relative to the sector (not the market).

The Autonomous brand has three categories of common stock ratings:

- Outperform (OP): Stock will outpace the relevant index by more than 10 pp
- Neutral (N): Stock will perform in line with the market index to within +/-10 pp
- Underperform (UP): Stock will trail the performance of the relevant index by more than 10 pp

Coverage Suspended: Coverage of a company under the Autonomous research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

Not Covered (NC) denotes companies that are not under coverage.

Autonomous brand common stock ratings are based on a 12-month time horizon.

Autonomous brand – preferred stocks

The Autonomous brand has three categories of preferred stock ratings:

- Outperform (OP): The total return of the preferred instrument is expected to outperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Neutral (N): The total return of the preferred instrument is expected to perform in line with preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Underperform (UP): The total return of the preferred instrument is expected to underperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous preferred stock ratings are based on a 6-month time horizon.

AUTONOMOUS CREDIT RESEARCH

Where this report contains investment recommendations for credit instruments, as defined in article 3(1)(35) of the Market Abuse Regulation, the information below is presented to comply with its disclosure requirements.

The report may also include reference(s) to published opinions by other Autonomous or Bernstein analysts covering the equity securities of the issuer(s) referenced herein. Please note an investment recommendation for credit instruments published by the author(s) of this report may differ from the published view of the analyst covering equity securities for the issuer(s) contained in this report and vice versa.

CREDIT RATINGS DEFINITIONS

The Autonomous brand has three categories of credit ratings:

- Credit Outperform (C-OP): The total return of the Reference Credit Instrument is expected to outperform the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.
- Credit Neutral (C-N): The total return of the Reference Credit Instrument is expected to perform in line with the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.

- Credit Underperform (C-UP): The total return of the Reference Credit Instrument is expected to underperform the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous credit ratings are based on a 6-month time horizon.

A list of all investment recommendations produced by the author(s) of this report alongside credit ratings history are available upon request.

It is at the sole discretion of the Firm as to when to initiate, update and cease research coverage. The Firm has established, maintains and relies on information barriers to control the flow of information contained in one or more areas (i.e. the private side) within the Firm, and into other areas, units, groups or affiliates (i.e. public side) of the Firm

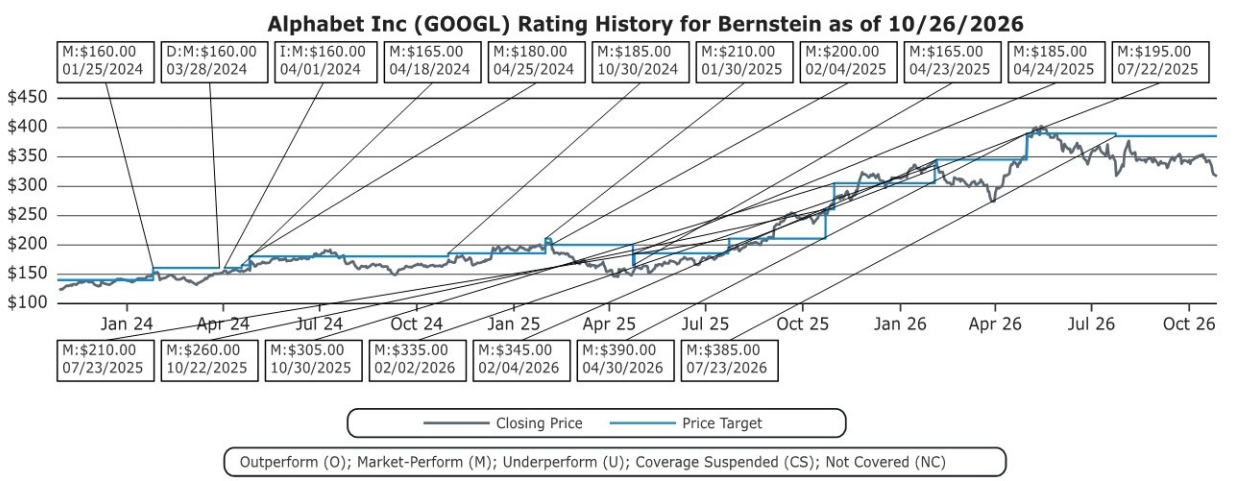
DISTRIBUTION OF EQUITY RATINGS/INVESTMENT BANKING SERVICES

Equity Rating	Market Abuse Regulation (MAR) and FINRA Rating Category	Global Rating Distribution	Investment Banking Relationships*
Outperform	BUY	52.3%	14.2%
Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	35.6%	16.1%
Underperform	SELL	12.1%	13.6%

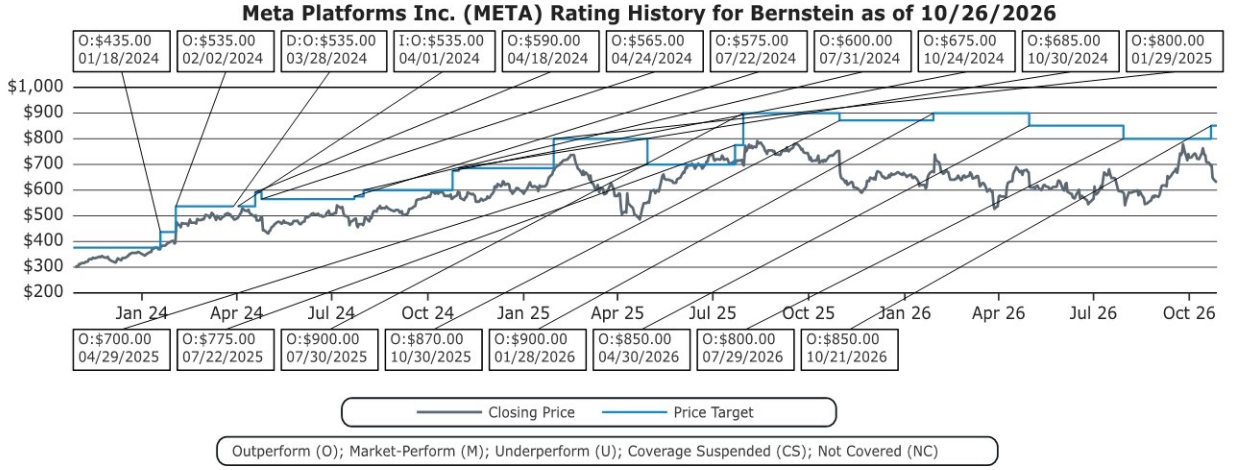
* These figures represent the percentage of companies within each equity rating category for which affiliates of Bernstein have provided investment banking services within the previous 12 months.
As of September 30, 2026. All figures are updated quarterly.

PRICE CHARTS / RATINGS AND PRICE TARGET HISTORY

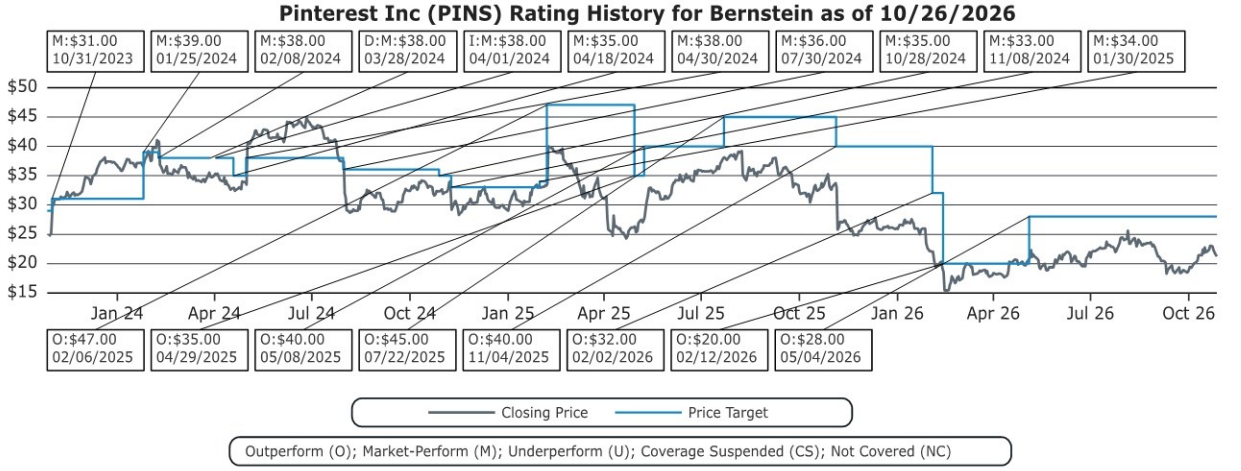
Prior to April 1, 2024, Sanford C. Bernstein & Co., LLC. issued the ratings and price target information in the graph(s) below for the following companies: Alphabet Inc, Meta Platforms Inc., Pinterest Inc, Snap Inc and Amazon.Com Inc.



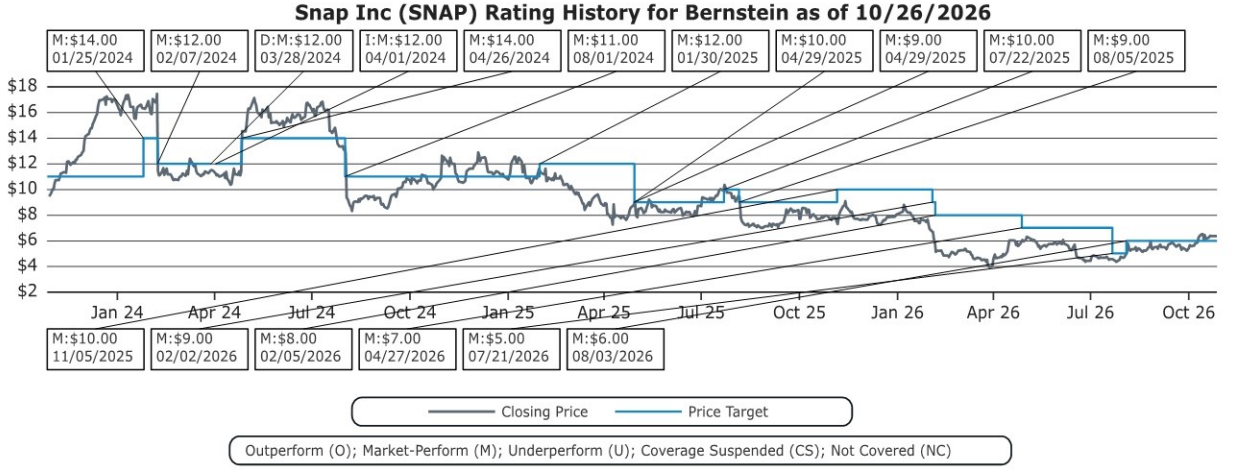
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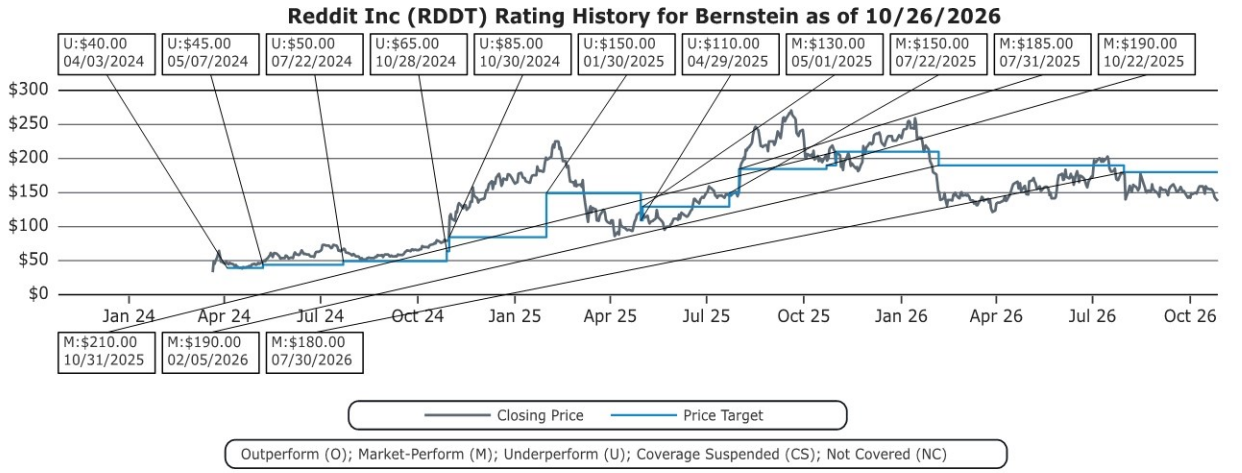


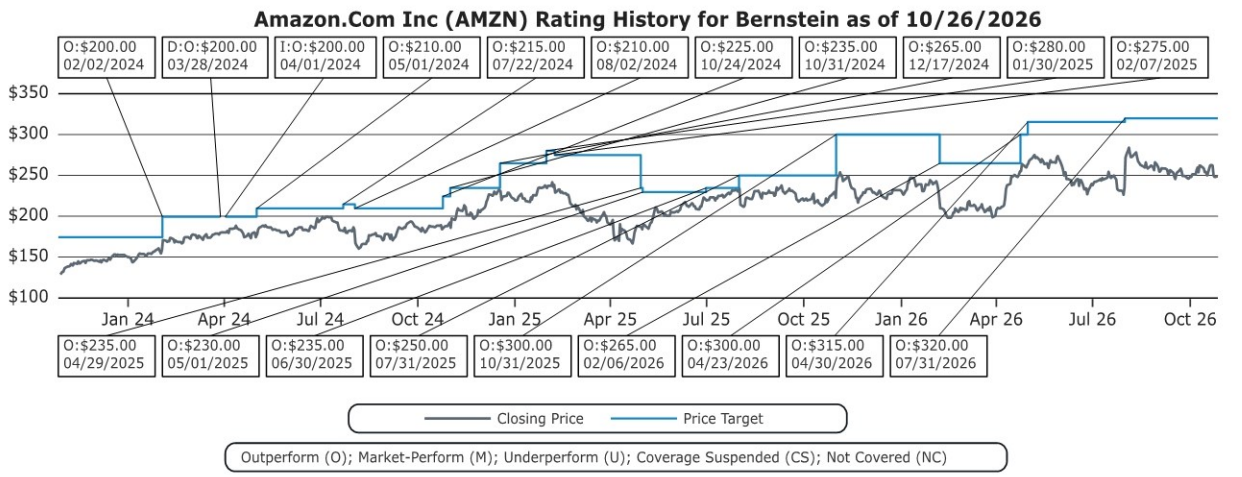
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